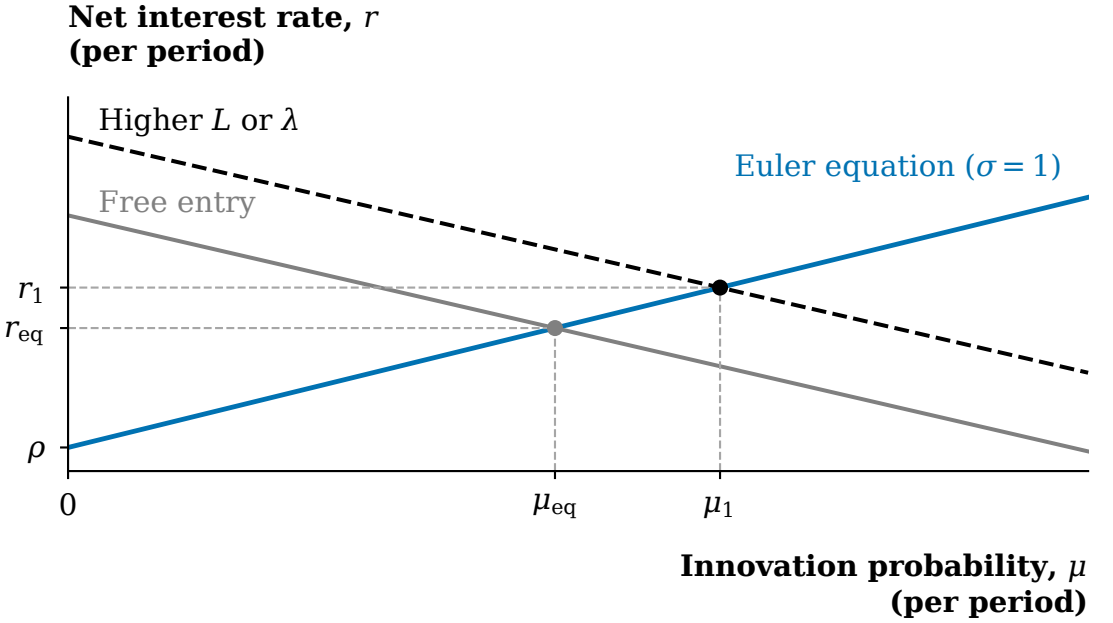
Net interest rate, r
(per period)
Higher L or λ
Euler equation ($\sigma = 1$)
Free entry
r_1
r_{eq}
ρ
0
μ_{eq}
μ_1
Innovation probability, μ
(per period)